



Qualification Programme Examination Panelists' Report

Module 14 – Taxation (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case questions in Section A covered a wide range of topics including the determination of source of profits and the locality of employment, the definition of permanent establishment ("PE") involving a non-DTA territory, knowledge on transfer pricing documentation, and tax treatments on various payments and benefits to employees.

Candidates scored more satisfactorily on questions relating to salaries tax than profits tax. It appears that candidates were unfamiliar with less common topics in previous sessions, such as transfer pricing. Most candidates did not refer to the information provided in the case when applying their knowledge or coming to a solution. In addition, some candidates appeared to not have read the questions carefully and therefore failed to address all the requirements of the questions. The overall performance of the candidates in this section was satisfactory.

Specific Comments

Question 1(a) – 7 marks

This question required candidates to determine whether a Hong Kong branch of an overseas company in a non-DTA territory constituted a PE in Hong Kong. Candidates were then asked to analyse the source of trading profits. The performance of the candidates in this question differed greatly, with some scoring full marks and some performing poorly. Most candidates could conclude the existence of a PE in Hong Kong through the form of a branch and correctly explained that the locations where the purchase and sale contracts were effected were important factors in determining the source of trading profits. However, some candidates did not identify that the overseas company in question was a non-DTA territory resident person and therefore they did not apply the relevant provisions of the Inland Revenue Ordinance ("IRO") concerning PE. In addition, most of the candidates could not specify what other operation activities were also relevant in determining the source of trading profits.



Question 1(b) – 7 marks

This question required candidates to analyse the source of profits from re-invoicing activities. The performance of the candidates in this question was unsatisfactory. Most candidates failed to give a comprehensive analysis of the activities carried out by the company in question and its parent company with reference to the relevant tax principles. Most candidates only focused on the contract effected test in determining the source of profits and failed to evaluate the activities performed by the parent company as an agent.

Question 2(a) – 10 marks

This question required candidates to demonstrate their knowledge of transfer pricing documentation. This was a relatively straightforward question, but the performance of the candidates in this question was unsatisfactory. Many candidates correctly identified the exemption thresholds of preparing a master file and local file. However, many simply jumped to concluding whether the exemption applied without applying the information provided in the case. Many candidates did not include the investment income in arriving at the company's total revenue. In addition, some candidates failed to consider the exemption based on the controlled transactions.

Question 2(b) – 5 marks

This question required candidates to demonstrate their knowledge of timing for preparing the master and local files and penalties for non-compliance. The candidates appeared to have been unfamiliar with the topic, and thus performance in this question was poor. Most candidates identified the statutory requirement of the deadline for preparing the files and came up with the correct deadlines as would apply in the scenario posed by the question. However, many candidates failed to mention the need to make declaration in the profits tax return and the supplementary form S2 or to submit the files upon request. In addition, many candidates did not identify the correct penalty provisions for non-compliance. These candidates erroneously mentioned other penalty provisions, such as s.80(1), s.80(1A), or even s.82A of the IRO.

Question 3 – 8 marks

This question required candidates to determine the locality of employment and to evaluate the salaries tax liabilities with reference to the relevant charging sections and exemption provisions of the IRO. Performance on this question was very good. Most candidates were able to achieve high or full marks. Notably, although some candidates correctly concluded that it was a non-Hong Kong employment, they still applied the exemption provision of s.8(1A)(c) of the IRO, which is not applicable to non-Hong Kong employment.



Question 4 – 13 marks

This question consists of two requirements: computing the salaries tax liabilities and advising on the salaries tax treatments on share awards and reimbursement of private expenses by employer. Some candidates misunderstood the question requirements and only explained the tax treatments on the two items without providing a salaries tax computation. Most of the candidates failed to note that the reimbursement of private expenses by employer was taxable. In addition, most candidates did not use 366 days as the total number of days in the year of assessment 2019/20. Some candidates omitted the single parent allowance. Overall, the performance of the candidates on this question was fair.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section covered a wide range of topics, including tax depreciation allowance for property letting business, ethical considerations in terms of delivery of tax service, taxation of rental income from property letting in Hong Kong and mainland China and related cross-border issues in the context of DTA, property tax calculation, tax advisory letter writing, and stamp duty implications and relief. Candidates generally scored very high marks in computational questions and satisfactory marks for technical questions on topics which the study text had covered, but performed poorly in analytical and practical questions. Candidates appeared to have spent too much time on areas they were familiar with, thus leaving insufficient time to tackle other areas that required analysis of information and critical thinking. Candidates should strive to avoid reading carelessly, ignoring important information provided, or mis-interpreting the requirements when answering questions.

Candidates should study the examination materials thoroughly (e.g., striking a balance between technical knowledge and practical application of the same) and should focus on improving their time management during the examination—in particular, they should be wary of the proper allocation of time that should be given to each question.



Specific Comments

Question 5(a)(i) – 5 marks

This question required candidates to demonstrate their knowledge of conditions for claiming industrial building allowance and commercial building allowance and related computational rules under the IRO. Most candidates were able to provide an overview of the regime for granting of allowances based on the materials from the study text; thus, these candidates scored a reasonably high mark. However, some candidates appeared to have spent more than the time required in writing the answers, which could have possibly impacted their performance in the ensuing questions negatively. Some candidates appeared to not have been aware that the building was only partially leased to tenants at year-end, which made them unable to highlight the requirement to apportion the allowance attributable to units that had been put into use at year-end. Other candidates misunderstood that VL was carrying on the business of property letting, which was not a qualifying trade and thus only entitled to commercial building allowance.

Question 5(a)(ii) – 5 marks

This question required candidates to go further into the practical aspect of claiming tax depreciation allowance by suggesting ways to find out the information necessary to compute the allowance, which was not specifically highlighted in the questions. Few candidates pointed out the need to survey the activities conducted by the tenants in the units in order to ascertain whether qualifying trade was conducted therein; however, no further discussion was provided on the need for apportionment. Most candidates did not go on to suggest the need to find out the qualifying capital expenditures on construction of the building (though the question clearly stated that the building was re-developed/constructed by VL), and many simply repeated the points already answered in 5(a)(i) without additionally providing a practical solution to the allowance computation that took into account the information provided in the questions. The performance of candidates was less than satisfactory.

Question 5(b) – 5 marks

This question required candidates to outline the ethical considerations during the delivery of tax service. Performance was satisfactory as this topic should have been familiar to all candidates. Some candidates misunderstood the question requirement and focused their answers on engagement acceptance rather than delivery of tax service, leading to a lower than average mark.



Question 6(a) – 7 marks

This question required candidates to compute the property tax liabilities. This question was straightforward and the adjusting items were obvious; therefore, most candidates scored full marks. A few candidates computed the property tax liability on a “combined” basis without noticing that the two properties were in fact separately owned by two individuals.

Question 6(b) – 5 marks

This question required candidates to demonstrate their knowledge of taxation of rental income earned by individuals in mainland China. In general, candidates performed quite well as they were able to comment on how tax residency can affect the PRC taxation of the rental income derived from Hong Kong and mainland China, and many commented on the individual income tax (“IIT”) implications. However, quite a number of candidates did not suggest the applicable tax rate, eligibility to the standard deduction in computing the IIT liability, or the tax withholding agent role.

Question 6(c) – 11 marks

This question required candidates to demonstrate their abilities and skills in writing a tax advisory letter to client. Whilst the technical content of this letter was considered important, candidates were also required to structure the letter properly so that it could facilitate the delivery of the key tax messages to the client in a logical and precise manner. Unfortunately, very few candidates demonstrated this ability, and thus the scores were far from satisfactory. Most candidates did not provide reasonable coverage on how DTA can help to define the taxing right and provide relief for double taxation, and the discussion on Hong Kong and mainland China taxation of the rental income derived from the HK/mainland China properties was loosely connected. Most candidates were, however, able to highlight the relief of double taxation by way of tax credit under a DTA. In addition, most candidates wrote the answer in memo format rather than in the required letter format.

Question 7(a) – 4 marks

This question required candidates to analyse the application of group relief for an intra-group asset transfer. Most candidates were able to spot that the ownership structure did not support the requirement for group relief and thus came to the correct conclusion. Candidates’ performance was satisfactory, though candidates generally appeared to have spent too much time writing the answers to this part of the examination, which may have caused a lack of focus on the other questions in the examination.



Question 7(b) – 3 marks

This question required candidates to demonstrate understanding on the stamp duty relief for voluntary disposition *inter vivos* in consideration of marriage. Most candidates were aware of this relief and thus came to the correct conclusion and scored high marks. A few candidates only wrote the conclusion without giving the complete reasoning, possibly due to having had insufficient time to fully answer the question.

Question 7(c) – 2 marks

This question tested candidates' awareness on beneficial interest and the stamp duty implications. Again, most candidates came to the correct conclusion, but very few were able to specifically point out that the reason was due to no beneficial interest change, thus losing marks.

Question 7(d) – 3 marks

This question required candidates to analyse the transaction and point out that the key event was transfer of shares in a Hong Kong company and the requirement for voluntary disposition *inter vivos*. Performance was diverse, with some candidates having given the correct analysis and thus scoring very high marks. Other candidates, however, appeared to have been confused by the location of the property or by the subject matter being transferred (the shares rather than the property); thus, these candidates came to the wrong conclusion and stamp duty calculation.

(III) Conclusion and Recommendation

Similar to previous sessions, candidates performed better in computational questions, while analytical questions, in particular those involving in-depth analyses, remained a challenge for most candidates. To obtain better results and avoid confusion, candidates should read the questions carefully. For analytical questions, especially those allocated substantial marks, candidates should construct a comprehensive skeleton and develop their answers beginning with the relevant legal principles which are generally allocated marks, particularly those well-established in the courts' judgments. They should then clearly and logically apply the legal principles to the facts set out in the questions. Conclusions should be made based on this analysis.

Candidates should manage time allocation properly, attempt all questions, and avoid spending excessive time on copying substantial material from their Learning Pack without effective analysis.